# Corrected Document

DAWN SATURDAY, JULY 4, 2026 09 Lower oil prices and hopes of monetary easing sustain investor confidence

By Muhammad Kashmir

KARACHI: The Pakistan Stock Exchange (PSX) extended its win - King streak for a fourth con - executive session on Friday, with the benchmark USE-100 index closing above the 185,000-point mark as improving geopolitical site - action and macroeconomic sentiment continued to sup - port equities.

The benchmark index gained 0.5 percent, or 930 points, to settle at 185,464, moving closer to its record high of more than 189,000 reached on Jan 23.

According to Topline Securities, investor config - dance remained buoyant amid lower international oil prices, which are expected to ease pressure on Pakistan’s external account.

The index was lifted mainly by United Bank Ltd, Oil and Gas Development Company, Fuji Fertilizer Company, Mari Energies and Pakistan Petroleum Ltd,

which together cont rib - used around 611 points.
The exploration and pro - auction sector dominated trading by value. CGDC led with transactions worth Rs3.08 billion, fol - lowed by Mari Energies at Rs2.43bn and Pakistan Petroleum at Rs1.81bn.
Despite the positive close, overall market par - anticipation weakened.
Trading volume declined 18pc to 815 million shares, while traded value fell 23.6pc to Rs42.6bn.
Ali Najib, Deputy Head of Trading at Arif Habit Ltd, said the market recorded a mixed session, with short-term profit-take - ING capping gains, while selective buying in bank - ING and energy stocks kept the benchmark in positive territory.
He noted that investors remained cautious ahead of the weekend, although optimism about the eco - comic outlook continued to underpin sentiment.
On the diplomatic front, Prime Minister Sheba Sharif and Army Chief Field Marshal Asia Muir led a high-level delegation to Tehran to attend the funeral of Iran’s late supreme leader.

Analysts expect easing
inflation, lower oil prices
and growing expectations
of monetary easing to
remain supportive for equip -
ties, with the benchmark
index seen testing fresh
record highs in the coming
sessions. However, they
cautioned that geopolitical
developments and the
State Bank of Pakistan's
upcoming monetary policy
decision would remain key
drivers of market direction
in the near term.

PSX hits 185,000 milestones after five months

US DOLLAR
BUYING R s 278.72
SELLING R s 279.36
EURO
BUYING R s318.85
SELLING R s 322.12
GBP
BUYING R s 372.36
SELLING R s 375.87
UAE DURHAM
BUYING R s 75.95
SELLING R s 76.57
KSA RIYAL
BUYING R s 74.29
SELLING R s 74.88
GOLD
TOLD R s 440,936
10 GMS R s 378,031

PA K I S T A N S T O C K E X C H A N G E
T H E T O P F I V E R S
L O S E R S
Khairpur Sugar 77.10
Service Industries 65.87
Sitar Chemical 46.47

Atlas Honda 34.62
Afghan Maize 33.00
G A I N E R S
PIA Holding Cob 309.14
That Industries 105.38
Tandlianwala Sugar 80.00
Bhangra Textile 45.92
Premium Textile 35.00
(Share values in rupees)
L E A D E R S*
TPL REIT Fund I 72.94
TPL Corp Limited 48.40
TPL Properties Ltd 34.28
Ghana Chemical 27.42
Secure Logistics 26.70
* Volume in millions of traded shares
I N D I C A T O R S Friday Previous Change
USE 100-SHARE INDEX (Points) 185,372.21 184,520.96 851.25
USE 30-SHARE INDEX (Points) 55,404.49 55,083.19 321.3
MARKET CAPITAL (Rs billion) 20,762.789 20,630.631 132.157
TRADING VALUE (Rs billion) 42.633 55.793 13.160
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ACTIVITY
Total listed 532
Active 494
Gainers 256
Losers 211
Parties P ants
Foreign $1.58m
Companies $3.15m
Banks $1.67m
Mutual Funds $2.70m
Individuals $0.75m
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By Nasir Iqbal
ISLAMABAD: The Supreme Court on Friday settled a contractual dispute spanning more than two decades, hold -ING that the Trading Corporation of Pakistan (TCP) was justified in forfeit -ING a performance guarantee after a trading company failed to deliver urea despite receiving multiple extensions.
Headed by Chief Justice of Pakistan (CJP) Ya-ya Africa, a three-judge SC bench disposed of cross-appeals filed by TCP and M/s Abdullah (suggestion limit reached) Metal Trading Company against a Nov 24, 2015 Sindh High Court (SHC) judgment arising from a 2005 contract for the import of 50,000 metric tonnes of urea.
The SC ruled that TCP's forfeiture of the entire performance guarantee was justified and reasonable in the (suggestion limit reached) -stances of the case. It also held that the trading company was not entitled to recover damages of $3.465 million, or any other amount, from TCP.
The court set aside the SHC judge -meets directing the refund of the per -France guarantee, while upholding the rejection of the trading company's claim for damages. As a result, the com -p any's appeal was dismissed.
The dispute originated after TCP invited tenders on Aug 18, 2005 for the supply of 50,000 metric tonnes of urea. The trading company's bid of $225 per metric tonne was accepted on Aug 31, 2005, leading to the execution of the contract.
Under the agreement, the company was required to furnish a performance guarantee equal to three percent of the contract value within seven days of acceptance. TCP, in turn, was obliged to

open a letter of credit (LC) for the full
contract value within 10 days of receive -
ING the guarantee.
The contract required shipment in
three consignments, within 15, 22
and 29 days of the opening of the LC
and expressly stated that time was of
the essence. It also provided that the
performance guarantee could be for -
fated if the supplier failed to deliver
the goods within the stipulated
period or breached any contractual
term. The guarantee further stipe -
lated that any extension of time
granted by TCP would not absolve
the supplier of liability.
Separately, even before its contract
with TCP had been finalized, the trade -
ING company entered into a back-to-back
arrangement with Gates Transfer center
International on Aug 27, 2005 to procure
the urea.
TCP guarantee forfeiture in
old urea dispute upheld
By Mubarak Web Khan
ISLAMABAD: Short-term
inflation, measured by the
Sensitive Price Index (SPI), rose
13.52 percent year-on-year for the
week ending July 2, mainly due
to higher retail prices for perish -
able food items, according to off -
coal data released on Friday.
A slight slowdown in short-term
inflation began, mainly due to a
steep cut in petroleum product
prices over the past two weeks,
which had reached unfree -
dented levels. On a week-on-week
basis, the index decreased by
0.98pc compared with the Previn -

out week, according to the Pakistan Bureau of Statistics.

The overall SPI showed a broad-based rise, indicating con - tinged pressure on the cost of Liv - ING. The increase was largely driven by sharp year-on-year gains in key items, including electricity charges (49.14pc), wheat flour (68.47pc), and clique - died petroleum gas (44.08pc).

Food inflation remained eye - vatted, with notable increases in the prices of onions, tomatoes, potatoes, mutton, beef and wheat flour. The government has kept petrol and diesel prices unchanged since last Friday, despite international oil prices falling below pre-war levels.

Energy-related costs continued to weigh on household budgets and push up transport expenses across the economy. The SPI has now recorded an annual increase for the 45th consecutive week.

Although the pace of growth has slowed, it reflects sustained pres - sure on consumers.

Costly energy, food fuel weekly inflation

Sees economy
expanding at 4pc
in 2026-27

By Shahid Iqbal

KARACHI: Macroeconomic indicators had been improving for the last three years, helping stabilize the economy, while higher large-scale manufacture - ING growth and improved GDP prospects pointed to further recovery, State Bank Governor Jamel Ahmad said on Friday.

Speaking at a press confer - once, Mr Ahmad said the econ - my was expected to grow by 4 percent in the current fiscal year (FY27), stability had been achieved and inflation had remained within the range set for FY26.

He said the economy was gain - ING momentum, with growth pick - ING up as reflected in 6pc growth in large-scale manufacturing, while growth in the sector had reached 10pc in certain months.

The governor said the expected 4pc growth in FY27 would be supported by expand - Sion in the industrial sector.

He said inflation rose to 11.1pc in June, which was not expected, adding that the Gulf War and uncertainty arising from it had pushed up energy prices and ultimately increased inflation.

The governor expressed satis - faction over the external account, saying it had met requirements during FY26 and the State Bank had achieved its target.

He said the SBP’s foreign exchange reserves target of $18bn had been achieved. He termed it a major achievement that had also affected the cur - rent account.

Mr Ahmed said the current account deficit had narrowed from $17.5bn, or 4.7pc of GDP, in FY22 to $3.3bn in FY23 and $2.1bn in FY24, before turning into a surplus of $2.1bn, or 0.5pc of GDP, in FY25.

The current account remained in surplus during the first 11 months (July to May) of FY26, with the SBP projecting the full-year balance to remain within 0-1pc of GDP, placing it at the lower end of the central bank's target range.

The current account data for June was not yet available, but it indicated that FY26 could end with either a very small deficit or a slight surplus. The improved current account helped bring stability to the economy and supported a stable exchange rate throughout FY26.

The governor said foreign exchange reserves had risen to $18.4bn from $13bn a year earlier.

He did not mention the share of remittances in the SBP's foreign exchange reserves.

Remittances have increased sharply during the last three years and crossed $40bn. The governor expected inflows to reach $41.5bn in FY26.

Mr Ahmad said higher reserves had eased foreign exchange constraints, supported external debt repayments and significantly reduced banks' outstanding foreign exchange liabilities from $5.8bn in FY23 to $950m by the end of FY26.

Despite total external debt remaining broadly unchanged at around $100bn since FY22, foreign exchange reserves

increased six-fold over the past
three years, rising from about
$3bn to $18.4bn.
Pakistan paid, including Rollo -
very, about $26bn in external
debt servicing in FY26, while
FY27 may require more.
The governor said to govern -
meet's external debt profile had
improved, with a gradual shift
away from short-term comer -
coal borrowing towards long-tenor multilateral financing
with maturities of 20 to 25 years,
resulting in a more favorable
average debt maturity profile.
The SBP expects remittance
inflows to increase further in
FY27, reflecting continued config -
dance in external inflow trends.
Stability achieved after three years: SBP chief
Factories shut a month after opening
as spot rate down Rs4,000 to Rs17,500
By Ahead Mahmood
LAHORE: In an unprecedented crisis for Pakistan's
textile backbone, some cotton ginning factories in
Tando Adam and other key towns have begun shut -
ting down just one month after becoming operational,
marking a devastating first in the country's history.
The sudden shutdowns result directly from the fed -
era government's failure to reduce the crushing 18
percent sales tax on the cotton ginning sector in the
recent federal budget.
This legislative oversight has triggered a historic
crash in domestic cotton prices, sending shockwaves of
anxiety through farmers and millers nationwide while
threatening the very survival of the local industry.
Representatives from the All Pakistan Textile
Mills Association (Aptma) and cotton winners had met
with top ministry officials prior to the budget to plead
for relief from the heavy tax burden.
Even after the budget speech, federal ministers

and high-ranking bureaucrats explicitly assured them that the 18pc sales tax on cottonseed and oil cake would be abolished, and the tax on raw cotton would be significantly reduced. Despite making 30 late amendments to the finance bill, the government pro - video no relief to the struggling sector.

This broken promise has triggered a massive mar - KET crash across the country. The Karachi Cotton Association's spot rate plummeted by Rs4,000 to land at Rs17,500 per mound. In the provincial markets, Punjab cotton prices plunged by Rs5,000 to Rs17,800 per mound, while Sindh cotton fell by Rs4,000 to match the spot rate of Rs17,500 per mound.

The downstream products hit even harder, with cot - ton seed (putti) tumbling from Rs4,800 down to Rs3,400 per mound, and oil cake dropping from Rs5,200 to Rs3,500 per mound, with experts warning that prices are expected to slide even further.

The economic disaster has been severely com - pounded by harsh environmental factors. Harsh Kumar, President of the Tando Adam Cotton Winners Association, released an emergency video statement confirming that heavy taxation, combined with extreme heatwaves, has drastically reduced both the quality and the lint yield of cotton from the seed.

The resulting financial losses are forcing factories to close their doors, raising serious fears that the wave of shutdowns will soon hit Shanghai and other major cotton-producing districts in Sindh, leaving farmers with fewer buyers and causing an unprecedented rise in undocumented, underground trade.

Market manipulation

In tandem with the price crash, the Pakistan Cotton Winners Association (CGA) has launched a crack - down on digital market manipulation.  CGA Chairman Sham Law Gangland issued a stern warning letter to social media information firms, ordering them to publish only verified transaction rates.

The association noted that certain digital entities are intentionally reporting deflated transaction prices to unfairly benefit specific buyers, heavily

damaging market sentiment. This is not the first
time the sector has faced this issue, as the CGA
recalled a previous crisis where the district admins -t ration in Bahawalpur registered criminal cases
(Firs) against social media pages spreading fake
cotton data.

Cotton Winners Forum Chairman Than-ul-Haq
claims the lack of tax relief is also severely compo -
mining national data accuracy by driving the cotton
economy offline. During the 2025-26 cotton year, the
heavy tax burden resulted in a massive gap: the CGA
officially documented only 5.5 million bales, while
the actual estimated production was closer to 7m
bales, meaning nearly 1.5m bales went undock -
rented. For the upcoming 2026-27 cotton year, the
CGA is scheduled to release its first official produce - ton and arrival data on July 18, tracking factory
arrivals and operational units.

18pc sales
tax cripples
cotton
ginning

KARACHI: The Paris -
tan Credit Rating Agency
has upgraded Sober
Bank's long-term entity
rating from AA- to AA,
while reaffirming the
short-term rating at the
highest level, Al+.

The upgrade reflects a
structurally strengthened
liability franchise, SUS -
gained earnings women -
tum, and continued pro -
press in trade finance.

—Staff Reporter

Sober gets
AA rating

KARACHI: Construction activities appeared to
have revived as local sales of cement during FY26
grew by 9.5 percent to 41.507 million tonnes from
37.906m tonnes in FY25, while exports fell by 2.19pc

to 9.008m tonnes from 9.210m tonnes.

Overall cement despatches (local and exports) grew by 7.21pc during FY26 to 50.515m tonnes from 47.116m tonnes in FY26.

During June, total cement despatches were 4.331m tonnes, up 18.38pc from 3.658m tonnes in the same month of the last fiscal year.

Local cement despatches rose 27pc to 3.541m tonnes compared to 2.793m tonnes in June 2025, while exports declined by 8.73pc to 789,840 tonnes from 865,387 tonnes.

The spokesperson for the All Pakistan Cement Manufacturers Association was optimistic about strong cement demand in the coming months on both the domestic and international fronts.

Rabia Yousuf of Topline Securities said total cement capacity utilization in FY26 clocked in at 59pc compared with 56pc in FY25. Notably, local capacity utilization improved to 50pc, compared with 45pc in FY25.— Staff Reporter

Cement sales rise

10pc in FY26

By Our Staff Reporter

ISLAMABAD: The number of registered com - ponies in the country has crossed the 300,000 mark, with 43,559 new coma - lies registered in 2025-26, a 24pc increase over the previous fiscal year.

The Securities and Exchange Commission of Pakistan has said that the total number of registered companies has reached 301,615 by the end of June.

The commission has said that this milestone reflects SECT’s regulatory reforms, digital transformation, and

commitment to easing the
doing business environ -
meet, fostering a dynamic
and transparent corporate
ecosystem that promotes
entrepreneurship and eco -
comic growth.

Public companies grew
by 25pc, private coma -
lies by 27pc, single-member companies by
20pc, and limited label -
it partnerships by 28pc,
while Section 42-licenced
and foreign companies
posted 5pc growth each
in FY26.

Punjab recorded 22,364
registrations against 18,198
in the preceding fiscal year,
followed by Islamabad with
8,340 against 7,117, Sindh
with 6,691 against 5,124,
Khyber Pakhtunkhwa with
3,820 against 3,130, Gil git-
Baltic Stan with 1,585 against
961, and Balochistan with
759 against 557.

Companies'
enrollment
surpasses
300,000 mark

FAISALABAD: Finance Minister Muhammad Aurangzeb speaks at a post-budget
seminar at the Faisalabad Chamber of Commerce and Industry on Friday. Disc -
scions focused on the recently announced budgetary measures and their impact on
economic strategies. —PPI

By Amir Shaft Khan

KARACHI: Pakistan's automotive industry has
raised concerns over a critical issue caused by the
Finance Act 2026-27, as the new tariff structure now
makes importing a fully assembled vehicle more eco -
nominal than manufacturing one domestically.

In an urgent appeal to the prime minister, the Pakistan Automotive Manufacturers Association (RAMA) — representing 16 assemblers producing over 100 vehicle models under 31 international brands — has requested immediate intervention, warning that the anomaly threatens to reverse decades of industrial progress.

Under the new tariff regime, imports of completely built units (Bus) below 800cc would attract a mini - mum customs duty of just 30 percent, and comer - call imported parts at 25pc. Yet completely knocked down (CKD) kits — the very inputs used by local assembly plants — carry 32pc (30pc customs duty plus a 2pc additional duty), while localized parts face duties of up to 46pc.

The structure actively rewards imports and penal - uses localization, domestic value addition and techno - Oby transfer — the very objectives every automotive policy of the past three decades has sought to advance.

The anomaly has landed at the worst possible moment. With the future Auto Industry Policy still undecided, manufacturers have no visibility on the tar - IFF and regulatory framework under which they will operate. Business planning across the sector has effect - lively come to a standstill — pricing decisions, produce - ton planning, localization initiatives and new invest -

meet commitments are all frozen, auto assemblers said.

At stake is an industry with cumulative investments exceeding $5bn, average annual production of around 250,000 units, and a supply chain supporting the lively - hoods of nearly 2.5 million Pakistani families.

RAMA Director General Abdul Waheed Khan informed the prime minister that the current atom - any threatens to reverse decades of progress by MAK - ING local manufacturing of parts and vehicles com - mercially unviable, disrupting the vendor base, dis - encouraging investment, and putting millions of lively - hoods at risk.

Adding to the pressure, an auto assembler said that GST on hybrid electric vehicles (Hers) and plug-in hybrid electric vehicles ((suggestion limit reached)) has been raised

from 8.5pc to 25pc which will increase prices of locally
produced hybrids by at least 15pc (Rs1.5 to Rs1.8 (suggestion limit reached) -
lion per unit), collapsing the fuel-savings case that
justified their purchase.

Tariff disparity
threatens auto
assembly